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ARTICLE

The Handling of the Credit Suisse Failure in Light of the FSB's Key Attributes for Global Systemically Important Banks

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Abstract

On 19 March 2023, the Swiss authorities announced that UBS would acquire its failing competitor Credit Suisse in a state-facilitated merger to avoid its resolution. What is seen by some observers as a blunt violation of international standards warrants an objective and balanced assessment. This article provides such an assessment, contrasting the measures taken on 19 March 2023 with alternative courses of action contemplated by the Swiss authorities and evaluating their outcome in light of the international framework devised for resolving global systemically important banks—the Key Attributes of the Financial Stability Board. The assessment shows that the handling of Credit Suisse's failure was far from a bailout like those seen during the global financial crisis of 2007-2008. While the Swiss authorities chose *not* to apply their legal powers to put Credit Suisse into resolution, many aspects of the resolution framework fulfilled their intended purpose. Nevertheless, the article points to three key lessons for the further development of global resolution frameworks: (1) avoiding the risks associated with creating yet bigger banks should become an explicit objective of resolution planning; (2) preserving strategic optionality in resolution planning will significantly enhance the chances of successfully deploying resolution actions; and (3) resolution planning as well as a credible public sector backstop must cater for the ample funding needs during and after the resolution of global systemically important banks.

Keywords Bank resolution · Global systemically important banks (G-SIBs) · International financial standards · 2023 bank turmoil · Crisis management · Credit Suisse failure · Financial Stability Board

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1 Introduction

19 March 2023 was a landmark moment for global financial stability. In a much-anticipated press conference at 7:30 pm, following a weekend of deliberations, the Swiss Finance Minister announced that UBS would acquire its ailing rival Credit Suisse with the help of public measures. Credit Suisse—like UBS, one of the 30 largest banks in the world—[1] had lost the trust of investors and markets due to the combined effects of its involvement in a row of scandals, a lack of risk culture, and a misguided strategy. Two bank runs of an exceptionally large scale—one in October 2022 and another in mid-March 2023—had depleted the bank's liquidity. The announcement of its acquisition by UBS had the desired effect: as markets reopened on 20 March 2023, there was no panic on the global financial market and outflows from the bank 'fell sharply'.[2]

Arguably, however, 19 March 2023 also marked a moment of truth for the efforts made since the global financial crisis of 2007–2008 (GFC) to ensure that even the largest banks worldwide can be stabilized without resorting to large-scale bail-outs. Based on international standards—the Key Attributes of Effective Resolution Regimes for Financial Institutions issued by the Financial Stability Board (FSB) in 2014[3]—resolution authorities across the world have been given far-reaching powers to plan for and execute orderly resolutions of failing banks. In Switzerland, the Swiss Financial Market Supervisory Authority (FINMA) had drafted a detailed plan for Credit Suisse's resolution that was never activated. Does the handling of Credit Suisse's failure—the first failure of a G-SIB since the GFC—expose all these efforts as futile? Should we accept that we cannot plan for the resolution of large, globally active banks, as such plans will always be disregarded in the face of even the smallest risk of triggering large-scale turmoil?

The answers to these questions will naturally lie in the eye of the beholder. Bankers will tend to feel validated in their reluctance toward resolution planning. As Jamie Dimon recently put it: 'We should all be focused on the security of the financial system. These types of plans will never function as written and they will not be used when there is a problem either.'[4] The former Chairman of the US Federal Deposit Insurance Cooperation (FDIC), Martin Gruenberg, on the other hand, famously criticized the orchestrated merger of Credit Suisse with UBS as 'unhelpful' and 'a missed opportunity' to demonstrate the merits of the post-crisis resolution framework.[5] The FSB, for its part, reacted diplomatically to the fact that the Swiss authorities refrained from putting Credit Suisse into resolution. While seeking to draw lessons from the episode, it upholds the effectiveness of the

[1] Financial Stability Board (2022), p 3.
[2] Swiss National Bank (2024b), p 51.
[3] Financial Stability Board (2014).
[4] Neue Zürcher Zeitung (2024).
[5] Financial Times (2024).

international resolution framework—even for global systemically important banks (G-SIBs).[6]

The aim of this article is to provide an objective and more balanced assessment of the measures taken on 19 March 2023 in light of the FSB Key Attributes. The assessment will show that the handling of the Credit Suisse failure was far from a bailout like those seen during the GFC.[7] While the Swiss authorities chose *not* to apply their legal powers to put Credit Suisse into resolution, many aspects of the resolution framework fulfilled their intended purpose. That is not to say that no lessons can be learned from the case (see Sect. 4.2. below),[8] but this article suggests that the glass is more half full than half empty.

The article proceeds as follows. Section 2 briefly reviews the objectives and principles of the Key Attributes and discusses their implementation in Switzerland. Section 3 turns to the measures taken on 19 March 2023 to stabilize Credit Suisse and contrasts them with other options contemplated, including the activation of the bank's resolution plan. An assessment of these measures follows in Sect. 4, which will also draw some key lessons for resolution frameworks globally. Section 5 concludes.

2 Resolution Framework Post 2008

The global regulatory agenda after the GFC was clear: never again should authorities be confronted with the dire choice of letting a bank go into disorderly bankruptcy or bailing it out.[9] The FSB Key Attributes emerged as the global standard according to which jurisdictions designed their institutional and legal frameworks to deal with the failure of even global systemically important banks. This section reviews the main objectives and principles of the Key Attributes (Sect. 2.1) and discusses their implementation in Switzerland (Sect. 2.2).

2.1 Objectives and Principles of the Key Attributes

The twelve Key Attributes (KAs) contain the core elements of resolution regimes that allow authorities to resolve non-viable banks in an orderly manner without exposing taxpayers' money to loss. Their goal is to maintain the continuity of banks' systemically important services and functions, rather than the banks *themselves*.

[6] See Financial Stability Board (2023). Accordingly, the recommendations made to the Swiss authorities in the FSB's peer review (Financial Stability Board (2024a)) remain remarkably 'light touch' as well.

[7] Arguing to the opposite, Böni and Zimmermann (2024), p 2: 'For the sake of brevity, and in line with our findings and conclusions, we like to think of this merger as a bailout.' See also Paz Valbuena and Eidenmüller (2023).

[8] This article focuses on the lessons for resolution, while the case clearly holds important lessons for many other areas, such as supervision and early intervention. For a comprehensive review conducted by the Swiss government, see Swiss Federal Council (2024).

[9] Somewhat cynically, it was its bailout in 2008 that enabled UBS to emerge as Switzerland's national champion and 'white knight' in the Credit Suisse case.

Depositors should be protected in resolution, at least up to their level of coverage by national deposit insurance, while losses are allocated to shareholders as well as unsecured and uninsured creditors according to the hierarchy of claims in liquidation. Bank resolutions must allow for speedy stabilization, often over a 'resolution weekend', which requires advanced planning and coordination domestically as well as with relevant foreign resolution authorities.[10]

For these purposes, the KAs empower resolution authorities to initiate resolution when a bank has (likely) reached the point of non-viability—a difficult-to-identify point *before* a bank becomes balance-sheet insolvent (KA 3.1). They grant resolution authorities far-reaching powers to handle banks in resolution, including powers (i) to transfer assets and liabilities or ownership of shares to a solvent private acquirer (sale of business tool; KA 3.3); (ii) to establish a temporary bridge institution to take over and continue operating the critical functions and viable business of a failed bank (bridge institution tool; KA 3.4); (iii) to create an asset management vehicle to take over and liquidate non-performing loans and/or difficult-to-value assets of a failed bank (asset separation tool; KA 3.2); and (iv) to write down equity as well as unsecured and uninsured creditor claims or convert unsecured and uninsured creditor claims into equity (bail-in tool; KA 3.5).[11] Shareholder and creditor rights are protected by certain safeguards: resolution should respect the hierarchy of claims (KA 5.1), and all creditors should receive at least what they would have received had the bank been liquidated instead ('no creditor worse off than in liquidation' safeguard; KA 5.2).

The key innovation of the KAs relates to the resolution planning process. Given the complexity of applying resolution tools to a failed bank within the short timeframe of a 'resolution weekend', resolution authorities are mandated to work out resolution plans for all systemically important banks, consisting of a resolution strategy and an operational plan (KA 11.6-9, I-Annex 4). For G-SIBs, the home jurisdiction authority leads the resolution planning in coordination with key host authorities within the bank's Crisis Management Group (CMG; KA 8). Regular resolvability assessments ensure that the implementation of the planned-for resolution strategy is both feasible and credible (KA 10, I-Annex 3).

A core principle of the KAs is that losses of the failed bank should be borne by its shareholders and creditors. The FSB's Total Loss-Absorbing Capacity (TLAC) standard was designed to ensure that G-SIBs have a minimum of instruments and liabilities available for bail-in within resolution.[12] Beyond bail-in, certain resolution strategies will require some form of external funding, such as the recapitalization of a bridge institution or guarantees requested by the acquirer for certain critical transferred assets. For these purposes, the KAs recommend that jurisdictions establish privately financed deposit insurance and/or resolution funds or any other funding mechanism that allows for *ex post* cost recovery from the industry (KA 6.3).

[10] See Preamble of the FSB Key Attributes (Financial Stability Board (2014), pp 3–4).

[11] Bail-in powers also include the conversion or write-down of any contingent convertible or contractual bail-in instruments whose terms had not been triggered prior to entry into resolution (KA 3.5 (iii)).

[12] Financial Stability Board (2015).

Moreover, the KAs acknowledge that orderly resolution will often require temporary sources of funding to bridge liquidity shortages arising from limited market access during and after resolution. Accordingly, resolution planning should include the development of a plan to address liquidity stress in resolution.[13] Only if strictly necessary and subject to conditions should banks in resolution have access to temporary liquidity support from the public sector, a so-called 'public sector backstop funding mechanism' (KA 6.4).[14] In any case, provision should be made that any losses incurred by the public sector can be recovered from the failed bank's shareholders and creditors or from the financial system more widely (KA 6.2).

2.2 Implementation in Switzerland

Switzerland was among the first jurisdictions to review its legal regime for systemically relevant banks after the GFC, including by adopting new tools and resolution powers for FINMA in line with the KAs. FINMA was mandated to draft resolution plans for banks that the Swiss National Bank (SNB) designates as systemically important.[15] Early on, FINMA's resolution strategy for Switzerland's previously two G-SIBs focused on a resolution at group level via a 'single point of entry' (SPE) bail-in.[16] Accordingly, FINMA, as the home resolution authority, would intervene at the group holding company level, i.e., Credit Suisse Group AG and UBS Group AG, and apply bail-in to recapitalize the entire group—all in close collaboration with the other members of the CMG. For that purpose, and in line with the FSB TLAC standard, the two G-SIBs had to preposition large amounts of loss-absorbing instruments, i.e., Additional Tier 1 (AT1) instruments and bail-in bonds, at the group parent level. They also had to structurally disentangle the group parent company (holding the shares of the parent company) from the parent company (responsible for the banking business and holding the shares of the domestic and foreign subsidiaries). At the end of 2022, the total going-concern capital requirements for Credit Suisse stood at 13.58% of risk-weighted assets (RWAs), 4.3% of which could be met by AT1 capital. The gone-concern requirement (to be met by bail-in bonds) was equal to the total going-concern capital requirement.[17]

In addition to resolution planning, systemically important banks must demonstrate, in a so-called 'Swiss emergency plan', that their systemically important functions can be continued without interruption in the event of the group's bankruptcy. For that purpose, the G-SIBs transferred the functions deemed

[13] See Financial Stability Board (2016), Principle 5, pp 15-16; Financial Stability Board (2018).

[14] The public sector backstop funding mechanism can be provided through resolution funds, deposit insurance funds, resolution authorities, central banks, and/or finance ministries.

[15] These include, besides UBS (and previously Credit Suisse), three domestic systemically important banks (PostFinance, Zürcher Kantonalbank and Raiffeisen Group).

[16] See Swiss Financial Market Supervisory Authority FINMA (2024a). On the difference between SPE and 'multiple point of entry' (MPE) strategies, see Financial Stability Board (2013).

[17] Credit Suisse (2023), pp 116–118; see also Swiss Financial Market Supervisory Authority FINMA (2024b). See Swiss Federal Council (2024), pp 53-54, for a comparison of Swiss loss-absorbing capital requirements (going-concern and gone-concern) with foreign peers.

systemically important in Switzerland (deposits, certain loans, payment services) to a Swiss legal entity with its own banking license, held by the parent company.[18] This national ring-fencing is considered a last-resort fallback plan in case resolution fails.[19]

One crucial gap remained in Switzerland's resolution regime: funding in resolution. The country never implemented a resolution fund (like the EU), nor did it extend the use of its deposit insurance system to funding for facilitating bank resolutions (as seen in the US).[20] Bail-in was intended to absorb losses and recapitalize the failing bank to a level that would allow it to operate post resolution. Moreover, the G-SIBs had to meet significant liquidity buffer requirements to cover their liquidity needs in the event of resolution.[21] It was due to its significant levels of high-quality liquid assets (HQLA) that Credit Suisse survived the first bank run in October 2022.[22] However, there was no mechanism or backstop available—beyond the SNB's standard facilities and provision of Emergency Liquidity Assistance (ELA)—that could be tapped to ensure temporary access for banks under resolution to sufficient liquidity. By March 2022, the Swiss Federal Council had reportedly defined parameters for introducing a public liquidity backstop (PLB) for this purpose, but its implementation was still pending when the crisis at Credit Suisse worsened in mid-March 2023.[23]

In its resolvability assessment of Credit Suisse at the end of 2022, FINMA concluded that the bank's preparatory measures were adequate and its Swiss emergency plan effective. Both G-SIBs had 'carried out further work towards achieving global resolvability in 2022', and FINMA announced that it would 'review the banks' resolvability measures in depth and test whether they are effective and ready to be implemented in practice.'[24] Credit Suisse's resolvability was indeed tested extensively within the CMG over several months after it had experienced a first bank run in October 2022, and the domestic and foreign authorities involved agreed that the preparations for a global resolution of the bank were sufficient.[25] However, as Credit Suisse's financial situation deteriorated significantly in mid-March 2023, the Swiss authorities ultimately chose to follow a different path.

[18] Swiss Financial Market Supervisory Authority FINMA (2023a), p 18.

[19] See also Financial Stability Board (2024a), p 22. It must therefore be distinguished, for example, from the concept of 'variant resolution strategy' pursued by the EU's Single Resolution Board.

[20] Several attempts to fundamentally reform the Swiss deposit insurance system have failed. Critically, e.g., International Monetary Fund (2019), pp 41–42.

[21] The increased requirements were introduced through an amendment of the Swiss Liquidity Ordinance in June 2022 and had to be implemented by the banks by 1 January 2024 (see Swiss Federal Council (2022)).

[22] See Swiss National Bank (2023), p 39.

[23] In September 2023, the Swiss government adopted a dispatch regarding the introduction of a PLB for systemically important banks in Switzerland (see Swiss Federal Council (2023)). The proposed legislation aims to transpose the PLB introduced through an emergency ordinance in the context of the acquisition of Credit Suisse by UBS (see Sect. 3.1 below) into ordinary law.

[24] Swiss Financial Market Supervisory Authority FINMA (2023b).

[25] See Expert Group on Banking Stability (2023), pp 30–31; Lengwiler and Weder di Mauro (2023).

3 (Non-)Application in the Credit Suisse Case

On 19 March 2023, the Swiss Finance Minister announced that Credit Suisse and UBS had reached a merger agreement under which Credit Suisse shareholders would receive, in return for their CS shares, UBS shares worth CHF 3 billion at that time. The agreement was facilitated by a set of accompanying public *ad hoc* measures. This section discusses these measures (Sect. 3.1) and contrasts them with other options that were considered (Sect. 3.2).

3.1 Measures Taken on 19 March 2023

An emergency ordinance enacted by the Swiss government supported UBS's rescue merger with Credit Suisse and provided the legal basis for four different types of public measures.[26] The first concerned shareholders' say in the merger. The emergency ordinance contained derogations from the Swiss Merger Act, suspending the rights of UBS and Credit Suisse shareholders to approve or reject the merger.[27] The authorities deemed this necessary for the immediate stabilization of Credit Suisse.[28]

The second set of *ad hoc* measures related to two new liquidity facilities established by the emergency ordinance:[29]

- So-called additional liquidity assistance loans, also referred to as 'ELA+', could be granted by the SNB to both Credit Suisse and UBS up to the amount of CHF 100 billion. In deviation of fundamental ELA rules, these loans were uncollateralized but protected by a privileged creditor status in bankruptcy.[30] An interest rate equal to the then current SNB policy rate of 1.5% plus a 3% risk premium applied to ELA+ loans.
- An additional maximum amount of CHF 100 billion in liquidity assistance loans secured by a default guarantee by the Swiss Confederation could be granted by the SNB to Credit Suisse through a public liquidity backstop (PLB).[31] These

[26] Ordinance of 16 March 2023. The Ordinance was enacted on the basis of emergency law (Arts. 184(3) and 185(3) of the Swiss Constitution). It also contained measures regarding compensation, which are not discussed in this article.

[27] Art. 10a(1)(a) Ordinance of 19 March 2023.

[28] Even in a resolution scenario, the shareholders of the acquiring bank—UBS in this case—retain their right to approve the acquisition. See Financial Stability Board (2014), KA 3.2 (v), which recommends that resolution authorities be given the power to '[o]verride rights of shareholders *of the firm in resolution*' [emphasis added].

[29] These facilities were established in addition to the pre-existing liquidity-shortage financing facility and emergency liquidity assistance (ELA) provided by the SNB, through which Credit Suisse had received loans in the amount of CHF 48 billion but to which it lost access for lack of eligible collateral (mortgages and pledged securities).

[30] Art. 3 Ordinance of 16 March 2023.

[31] Arts. 4-14 Ordinance of 16 March 2023. Already in 2022, the Swiss government decided on the key features of state-backed liquidity assistance to support the resolution of a systemically important bank. As its introduction was pending at the time of the merger, the emergency ordinance introduced the

loans were subject to a commitment premium of 0.25% per year for the federal default guarantee as well as a risk premium of 3%, split between the SNB and the Swiss Confederation, on the funds Credit Suisse actually drew down.

Credit Suisse utilized a total of CHF 168 billion in liquidity assistance, CHF 120 of which was drawn from facilities established by emergency law (ELA+ and PLB loans).[32] By the end of May 2023, Credit Suisse had fully repaid all loans under the PLB, and the corresponding loan agreement between the SNB and Credit Suisse was terminated.[33] Full repayment of the ELA+ loans followed in mid-August 2023, while the 'regular' ELA loans remained outstanding throughout 2023.[34]

A third measure concerned capital. The PLB triggered the full write-down of the AT1 instruments issued by Credit Suisse under the contractual terms governing these bonds. FINMA therefore instructed Credit Suisse to completely write down all its AT1 bonds, amounting to roughly CHF 15 billion in nominal value.[35] A provision empowering FINMA to take this action was also included in the emergency ordinance.[36]

As a fourth measure set out in the emergency ordinance, the Swiss government provided a second-loss guarantee for a portfolio of assets[37] of Credit Suisse, up to a maximum of CHF 9 billion, provided that UBS shouldered a first loss of at least CHF 5 billion.[38] The guarantee was subject to a loss protection agreement negotiated between the government and UBS, which UBS remunerated.[39] This agreement obliged UBS to manage the assets in a manner that minimized losses and maximized proceeds and by establishing a separate organizational unit. On 11 August 2023, UBS voluntarily terminated the loss protection agreement with the Swiss Confederation, after making the appropriate fair value adjustments on the assets covered by the guarantee.[40]

According to Art. 10(3) of the Swiss Cartel Act, the acquisition was exempt from assessment by the Swiss Competition Commission (ComCo) and could, based on

Footnote 31 (continued)
framework for the PLB. The PLB is currently being transposed into ordinary law. See Swiss Federal Council (2023).

[32] See Swiss National Bank (2024a), p 108.

[33] Federal Department of Finance (2024), p 2.

[34] Swiss National Bank (2024a), p 108.

[35] See Swiss Financial Market Supervisory Authority FINMA (2023c), which also contains a list of all affected publicly issued instruments.

[36] Art. 5a Ordinance of 19 March 2023. In the meantime, numerous bondholders have initiated proceedings against FINMA and the Swiss Confederation before Swiss and foreign courts as well as arbitral tribunals.

[37] The covered assets were conclusively defined and included assets of Credit Suisse that did not fit the business and risk profile of UBS (primarily loans, derivatives, legacy assets and structured products from Credit Suisse's Non-Core Unit). See Loss Protection Agreement of 2023, pp 11-14 and Schedules 3-5 (kept confidential).

[38] Art. 14a Ordinance of 19 March 2023.

[39] Loss Protection Agreement of 2023; see also Federal Department of Finance (2023).

[40] Although the loss protection was never activated, UBS paid the Swiss Confederation a set-up fee of CHF 40 million.

'reasons related to creditor protection', proceed based on FINMA's approval.[41] In its opinion on the concentration, the ComCo identified several business areas ('markets') in which the acquisition created or strengthened a dominant position for UBS in Switzerland.[42] Accordingly, the ComCo recommended that it be given the mandate to conduct further investigations into the competition effects of UBS's dominant position. However, FINMA concluded that 'the merger of UBS with Credit Suisse will not eliminate effective competition in any market segment, even if UBS has been able to strengthen its market position in certain sub-segments.'[43] It therefore closed the merger control procedure without imposing any further reviews, conditions, or obligations.

3.2 Other Options Contemplated: Resolution, Bankruptcy, and Temporary Public Ownership

From the outset, the authorities communicated that the state-supported merger of Credit Suisse with UBS was perceived to be the best scenario. However, other options had been contemplated and prepared since the summer of 2022 and with greater urgency from October 2022, when Credit Suisse faced its first severe bank run. According to the government's press conference on 19 March 2023, these options included: (i) resolution of the bank; (ii) bankruptcy with a ring-fencing of the Swiss entity according to the bank's 'Swiss emergency plan' (see Sect. 2.2 above); and (iii) nationalization of Credit Suisse through temporary public ownership (TPO).[44] Option (ii) would have been applied as a fallback to option (i), in case resolution would have been unsuccessful, but the authorities were aware of the implementation risks of the bankruptcy option and its destabilizing effects on the global financial system.[45] Accordingly, a bankruptcy ruling and a ruling to engage a bankruptcy liquidator were prepared for implementation on 19 March 2023 as a last-resort scenario if all other alternatives failed.

According to the press, it was the SNB President who first suggested option (iii), i.e., nationalization of Credit Suisse, already six months prior to its rescue merger with UBS.[46] However, the other authorities involved—the Federal Department of Finance and FINMA—were not in favor of this solution '[f]or regulatory and legal reasons as well as risk considerations'.[47] Reportedly, FINMA was concerned that

[41] The merger, however, required the approval from competition authorities abroad. After granting UBS and Credit Suisse a derogation from the standstill obligation under Art. 7(3) of the EU Merger Regulation, the European Commission unconditionally approved the merger on 25 May 2023. See European Commission (2023).

[42] See Competition Commission COMCO (2023) [in German].

[43] See Swiss Financial Market Supervisory Authority FINMA (2024c).

[44] Federal Department of Finance (2024), p 6.

[45] See Federal Department of Finance (2024), p 6; Swiss Financial Market Supervisory Authority FINMA (2023a), pp 20–21; Parliamentary Investigation Committee (2024), p 284.

[46] See Reuters (2023).

[47] Swiss Financial Market Supervisory Authority FINMA (2023a), p 20; see also Federal Department of Finance (2024), p 6.

replacing the top management during the nationalization process would not solve Credit Suisse's problems.[48] As Switzerland had not incorporated the option of a TPO into its regulatory framework after the GFC,[49] this scenario would have necessitated making the Swiss Confederation the sole shareholder of Credit Suisse under emergency law. Entailing significant financial risks for the country, a nationalization would have been diametrically opposed to the objectives of the KAs. While not a priority in the preparatory work since the fall of 2022, the decision to nationalize Credit Suisse through an emergency ordinance was nevertheless prepared as a fallback option in the weekend of 18/19 March 2023.[50] However, even after the Parliamentary Investigation Committee published its report on the events preceding the merger decision of 19 March 2023, little is publicly known about how the government planned to go about managing a state-owned Credit Suisse.

The authorities' contingency preparations since the fall of 2022 focused on a potential sale of Credit Suisse and activation of its resolution plan.[51] FINMA requested that the bank prepare for a sale of some, and later, all of its business, including by establishing a virtual data room.[52] According to UBS's filings with the US Securities and Exchange Commission (SEC), the bank, already in early December 2022, 'undertook a preliminary assessment of what consequences a transaction with Credit Suisse would have, should UBS Group AG be approached to take an active role in rescuing Credit Suisse.' While UBS's management concluded in late February that 'an acquisition of Credit Suisse was not desirable', it expected that the government might formally ask it to consider such an acquisition if Credit Suisse's position were to further deteriorate substantially.[53]

FINMA's main focus was on preparing for resolution of Credit Suisse. Since the summer of 2022, it had engaged in intensive exchanges within the bank's CMG (which included the Bank of England, the Federal Reserve Board, the Federal Deposit Insurance Corporation and later also the SEC and the New York State Department of Financial Services) to ensure the executability of its SPE open bank bail-in strategy for the bank. By 19 March 2023, the necessary documents were ready for signature.[54] They envisaged the following measures:[55]

[48] See Reuters (2023).

[49] See Financial Stability Board (2014), KA 6.5: 'As a last resort and for the overarching purpose of maintaining financial stability, some countries may decide to have a power to place the firm under temporary public ownership and control … .' In favor of introducing a TPO in Swiss law, Ammann et al. (2023), pp 47–54.

[50] Neue Zürcher Zeitung (2023); Parliamentary Investigation Committee (2024), pp 238–239, 291, 301, 321, 331, 335.

[51] The Swiss Finance Minister is reported by the press to have addressed UBS management at a secret meeting on 15 March 2023 as follows: 'We have two choices: resolution … or you have to step in to do a deal. We trust UBS will do the right thing.' See Financial Times Magazine (2023).

[52] See Swiss Financial Market Supervisory Authority FINMA (2023a), p 19.

[53] Securities and Exchange Commission (2023), p 41.

[54] Swiss Financial Market Supervisory Authority FINMA (2023a), p 20.

[55] Ibid., p 19.

- *Capital measures* would have included a full write-down of the bank's share capital as well as AT1 bonds and other capital instruments and would have converted the full amount of its bail-in bonds into new shares. These measures would have increased Credit Suisse Group's capital by approximately CHF 73 billion, restoring its consolidated CET1 ratio to roughly 44% of RWAs.[56] This capital base would have gone a long way towards financing Credit Suisse's post-stabilization restructuring.
- FINMA's plan would have imposed *restructuring measures* on the bank, including a reorientation of the bank's flawed strategy by accelerating the wind-up of its investment bank. Little is publicly known about the precise modalities and ambitions of these measures.[57]
- In terms of *governance measures*, FINMA would have replaced the chairman of Credit Suisse's Board of Directors. It would also have appointed a restructuring agent and temporarily suspended shareholder rights to ensure control over the bank's restructuring. Part of the contingency planning by the authorities consisted of drafting a shortlist of candidates for the position of new chair of Credit Suisse. Reportedly, Sergio Ermotti—now Group CEO at UBS—was their number one choice.[58]
- Emergency legislation would also have been necessary in the resolution scenario to establish the PLB and provide ELA+ to ensure sufficient *liquidity* for Credit Suisse during and after its resolution.[59]

Why did the authorities prefer the rescue merger over a resolution scenario? From the many reasons voiced and discussed, it emerges that the authorities sought to choose the solution that posed the smallest risk of failure and systemic disruption. Among their key concerns were the enhanced risk of contagion they associated with a bail-in[60]—an untested measure for a G-SIB—as well as the possibility that resolution could fail to restore confidence in the bank quickly enough.[61] The implementation risk of a bail-in, on the other hand, appeared to be manageable due to close cooperation with important partner authorities within the CMG.[62]

The question remains as to why FINMA did not order the takeover of Credit Suisse by UBS using its resolution powers, i.e., by applying the sale of business tool.

[56] See Financial Stability Board (2023), p 9.

[57] According to the press, these measures would have been slower in winding up Credit Suisse's investment bank than the plan ultimately carried out by UBS. See Financial Times (2023).

[58] See Financial Times (2023); Parliamentary Investigation Committee (2024), p 345.

[59] Swiss Financial Market Supervisory Authority FINMA (2023a), pp 19-20.

[60] The SNB and the Federal Department of Finance both voiced this concern, while representatives of foreign authorities and private institutions 'consider[ed] this risk to be considerably less serious' (Expert Group on Banking Stability (2023), p 31).

[61] See Swiss Financial Market Supervisory Authority FINMA (2023a), p 21.

[62] According to Expert Group on Banking Stability (2023), p 30, FINMA had 'gained reasonable confidence that the bail-in would have met the requirements for an exemption from the registration requirement' imposed by the US Securities Act and the SEC—an aspect that had been identified as a potential obstacle to the orderly resolution of Credit Suisse via SPE bail-in. See also Financial Stability Board (2023), pp 17–18.

The short answer is that the Swiss legal framework was not designed for such a merger of the country's G-SIBs.[63] As part of its contingency planning as of the fall of 2022, FINMA requested Credit Suisse to prepare for different scenarios regarding its sale, including a sale of the entire group.[64] It is an open secret that '[t]here were … limits to what FINMA could make [Credit Suisse] do.'[65] As its reported numbers remained within most regulatory requirements, the bank had little appetite to engage in swift and effective planning for its sale.

4 Assessment and Lessons (Not) to Be Learned

What initially appears to be a blunt violation of international standards warrants a closer assessment of the rescue merger and its accompanying public measures in light of these standards (Sect. 4.1). The reverse question is what lessons should (or should not) be learned from the Credit Suisse case for further developing resolution frameworks globally (Sect. 4.2). This section addresses both aspects in turn.

4.1 Assessment of the Measures Taken on 19 March 2023

The handling of Credit Suisse's failure was, in many ways, in line with the objectives and principles of the KAs. Importantly, it was successful at preserving financial stability and avoiding panic, while depositors continued to have access to their deposits, and loan agreements remained uninterrupted. Given that a crisis of confidence had brought Credit Suisse to the brink of insolvency, the rescue merger provided a credible solution. As a competitor in good financial condition and with an excellent reputation, UBS was well-positioned to restructure Credit Suisse's business and establish sound governance with the necessary speed. It had prepared to address the legal, regulatory, and operational challenges associated with absorbing Credit Suisse. The merger also offered a global solution for the bank rather than ring-fencing its Swiss entities. While Credit Suisse's CMG focused on preparing for resolution, FINMA kept the members of the CMG informed about the merger negotiations and the ultimate solution found,[66] i.e., international coordination—a cornerstone of the KAs –, worked.[67]

The Swiss authorities were keen to handle Credit Suisse's failure in a way that was as market-based as possible.[68] While orchestrated by the government and supported by a second-loss guarantee to UBS, the merger was ultimately agreed upon

[63] See Swiss Financial Market Supervisory Authority FINMA (2023a), p 20.
[64] Swiss Financial Market Supervisory Authority FINMA (2023a), pp 34–35, 70–71.
[65] Reuters (2023).
[66] See, e.g., Swiss Financial Market Supervisory Authority FINMA (2023a), p 40.
[67] See also the favorable assessment in Financial Stability Board (2023), pp 12–13.
[68] Federal Department of Finance (2024), pp 1, 6, speaks of a 'private takeover'. See also Swiss Financial Market Supervisory Authority FINMA (2023a), p 19: 'Generally speaking, a private solution is preferable to measures imposed by the government. As a rule, this is more appropriate, more targeted, and more proportionate.'

in a private contractual transaction by the merging parties to *avoid* Credit Suisse's resolution. Resolution regimes empower resolution authorities to resolve banks that are (likely) no longer viable 'and [have] no reasonable prospect of becoming so' (KA 3.1). A last-minute merger with UBS was such a prospect.[69] However, it came at the expense of predictability and a blunt violation of the rule of law.

Swiss taxpayers ultimately did not bear any direct losses.[70] However, with the benefit of hindsight, it is difficult to explain the merits of the second-loss guarantee. While the guarantee was remunerated and designed to incentivize a fast exit, it did put CHF 9 billion of taxpayer money at risk. There was no mechanism that would ensure the recovery of potential losses from the broader banking industry. The same is true for the public liquidity support provided through the PLB. However, the PLB was backed by Credit Suisse's balance sheet, which was approximately five times larger than the maximum liquidity support provided.

Importantly, public financial support would have been significantly higher had Credit Suisse shareholders and AT1 bondholders not borne significant losses. The write-down of all AT1 bonds issued by Credit Suisse under the contractual terms governing these instruments considerably increased the bank's CET1,[71] thus fulfilling their intended purpose. As going-concern instruments, these bonds are meant to ensure loss absorption prior to and independently of any formal resolution action—and thus also before the bank's shareholders. Therefore, if triggered outside of resolution, the hierarchy of claims in liquidation cannot *by design* apply to these instruments.

In the meantime, Credit Suisse has exited the market as it is fully absorbed by UBS, and its brand is about to disappear. This may seem a favorable development according to the letter of the KAs, as it creates market discipline. However, the merger with UBS has had significant impact on the structure of and the level playing field within the Swiss banking sector, as well as the risks to global financial stability in the longer term. These aspects are discussed below.

[69] While Art. 32(1)(b) of Directive 2014/59/EU of the European Parliament and of the Council of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms, OJ L 173, 12 June 2014, p 190, expressly refers to the lack of any alternative private sector measures or supervisory action as a condition for resolution, the last-resort character of resolution is more implicit in the case of Swiss law (see Art. 25(1) of the Swiss Federal Act on Banks and Savings Banks [Banking Act] of 8 November 1934, SR 952 [in German]).

[70] In fact, the Confederation collected fees from UBS and Credit Suisse totaling around CHF 200 million. See Federal Department of Finance (2024), p 2. This amount excludes income generated by the SNB for providing loans under the various facilities.

[71] See Swiss National Bank (2023), pp 27, 30–31. It is important to note that AT1 bonds would also have been written off completely in case of Credit Suisse's resolution.

4.2 Key Lessons for the Further Development of Global Resolution Frameworks

4.2.1 Mind the Gap: Creating Even Bigger Banks

The FSB Key Attributes are clear about their primary objective: preserving financial stability.[72] Authorities are given far-reaching resolution powers, including bail-in, asset and liability transfers, and the establishment of bridge institutions, to achieve this objective. They are to determine, by developing effective resolution strategies, how this objective is best achieved.

The Credit Suisse case brings back the very foundational question of whether short-term risks to financial stability should be contained by creating yet more systemic banks. After the merger with Credit Suisse, UBS's balance sheet nearly doubled Switzerland's GDP, making it the world's largest G-SIB in relation to the size of its home country's economy.[73] Concerns over short-term financial stability trumped worries about longer-term threats to financial stability and reduced competition in several market segments.[74] Two national champions have merged into one even larger entity. If UBS were to fail, there would be no Swiss bank left to acquire it, and a state-funded rescue might jeopardize the country's public finances.[75]

The risks and downsides associated with rescue mergers were well known at the time the FSB Key Attributes were drafted. However, they remained insufficiently reflected in the international standard and the FSB's guidance on developing effective resolution strategies.[76] Against the expectation that, at least in Europe, larger banks would be resolved primarily through open bank bail-in, transfer strategies (combined with elements of bail-in) have remained predominant in resolution *practice*—even beyond the Credit Suisse case. As a consequence, the FSB rightly acknowledges that in choosing resolution strategies, 'the risk of large systemic banks becoming more systemic should also be considered.'[77]

An obvious starting point for preserving competition and avoiding excessive market concentration is merger control. In the EU, any resolution action involving a merger of banks with a turnover above certain thresholds requires prior approval from the Commission or the relevant national competition authorities.[78] In the context of such approval, competition authorities can impose obligations and conditions, such as certain divestments or behavioral constraints, to ensure effective competition after the merger or acquisition has taken place. In Switzerland, the Cartel Act

[72] Other objectives include the protection of depositors covered by deposit insurance, of public finances, and of segregated client assets (see Preamble in Financial Stability Board (2014), pp 3–4), but these can be seen as ancillary to the overarching objective of preserving financial stability.

[73] See Financial Stability Board (2024a), p 3. In the meantime, UBS has already downsized considerably.

[74] See, e.g., Heynen and Haekens (2023).

[75] See, e.g., Böni and Zimmermann (2024), pp 9–12.

[76] Financial Stability Board (2013).

[77] Financial Stability Board (2023), p 29.

[78] See, e.g., the Commission's approval of the acquisition of failing Banco Popular by Santander: European Commission (2017).

allows FINMA to assume responsibility for approving bank mergers in the interest of depositors without setting out a clear and effective approval procedure regarding competition considerations. The FSB Key Attributes should at least clarify that the undisputed need for speed in resolution decisions should not come at the expense of thorough merger control *ex post*. Ideally, competition authorities are already consulted as part of resolution planning to anticipate potential areas of market dominance and ensure reasonable certainty for resolution authorities as well as potential acquirers.

Secondly, challenges and risks associated with creating yet bigger banks should be more systematically factored into the choice between open bank bail-in and transfer tools or a combination thereof (see Sect. 4.2.2. below). Quite naturally, resolution authorities will lean towards selling the shares of a failed bank to a competitor, where possible. This solution is relatively straightforward in terms of implementation and allows the resolution authority to 'outsource' the responsibility for restructuring post resolution to the purchaser, thus reducing the authority's execution risks. Open bank bail-in, on the other hand, may seem riskier in its execution due to being a new tool, but offers the significant advantage of allowing the failed bank to return to the market after its resolution.[79]

And thirdly, exacerbations of the TBTF problem and competition concerns could be partially alleviated by enabling as wide a group of competing banks as possible, including banks located in other jurisdictions, to bid for a failed bank.[80] This approach requires significant preparation as part of resolution planning. When considering the bids, the outcome of a merger or acquisition in terms of market concentration should be a key factor feeding into the authorities' assessment. If all potential buyers were to lead to unacceptably high market concentration, a bridge institution solution could be considered by way of alternative.

4.2.2 Bail-in, But… Strategic Optionality in Resolution

It would be wrong to conclude from the Credit Suisse case that open bank bail-in does not work in all circumstances. Open bank bail-in remains a useful tool for dealing with large failing banks and is in many ways preferrable to transfer strategies that create even bigger banks and may be detrimental to competition (as discussed above). However, the case highlights that the feasibility of resolution strategies will depend on the specificities of the crisis at hand, which are difficult to predict. The biggest concern of the Swiss authorities was that resolving Credit Suisse through open bank bail-in would not succeed in stabilizing the bank fast enough, as its reputation had suffered presumably fatal damage. According to that logic, the better choice was to place it under the control of UBS—a bank in excellent financial and reputational condition.

It was key for the Swiss authorities to have different options available to deal with the crisis of Credit Suisse, even though only an open bank bail-in was planned under

[79] See also Cirillo et al. (2024), p 26.
[80] Ibid., p 27.

the resolution framework and the merger with UBS pursued as an option to *avoid* resolution. The prospect of resolution likely served as important leverage in the sale negotiations over the 'resolution weekend'.[81] This demonstrates the need to preserve strategic optionality in crisis preparation to provide authorities with more flexibility in the use of resolution tools.[82] FINMA had an excellent plan to deal with a failing Credit Suisse, but it only had *one* plan.

Experience also outside of Switzerland shows that bank transfer strategies are perceived as more appropriate in certain failure scenarios.[83] Planning for alternative strategies can enhance authorities' flexibility to cater for different failure scenarios at the point of non-viability. In the EU, for example, resolution authorities are expected to identify a preferred resolution strategy and one or more variant resolution strategies as fallback options. To avoid trade-offs in the planning for the operationalization of alternative strategies, EU law gives the preferred resolution strategy clear precedence over the variant strategies.[84] For larger banks, a combination of strategies might work best.[85] For example, an open bank bail-in could be combined with the sale of some of the bank's subsidiaries or the transfer of impaired assets to a special purpose vehicle. This increases the chances of a successful and speedy stabilization of the failed bank. In contrast to a 'pure' open bank bail-in strategy, where restructuring must be executed *ex post*, such combined strategies anticipate some of the failing bank's restructuring already in the resolution planning.

4.2.3 Need for Ample Resolution Funding

A third lesson concerns resolution funding. The total amount of CHF 168 billion provided to Credit Suisse is the largest amount of liquidity ever granted to one single bank globally.[86] The liquidity support from the SNB, partially backed by the PLB, was calculated to cover 'virtually all possible short-term outflows from the bank'.[87] It reaffirms that funding is the Achilles heel of resolution, particularly in the case of G-SIBs. Any of the options to handle Credit Suisse's failure considered by the Swiss

[81] Similarly, Fransson et al. (2024), p 20. See Swiss Financial Market Supervisory Authority FINMA (2023a), p 74: 'If CS and UBS had not come to an agreement in the late afternoon of Sunday, 19 March 2023, FINMA would alternatively have been able to order that the above-mentioned resolution plan be implemented … .'

[82] See also Financial Stability Board (2023), pp 28–29; for the EU, Cirillo et al. (2024), pp 22–27.

[83] For example, the EU's Single Resolution Board deviated in the resolutions regarding both Banco Popular (2017) and the Slovenian and Croatian subsidiaries of Sberbank (2022) from the banks' preferred resolution strategies and applied the sale of business tool instead.

[84] Cirillo et al. (2024), p 26. Transfer strategies require planning for a different set of operational aspects, including separability of activities, availability of potential buyers, and funding to bridge shortfalls between transferred assets and liabilities (see Baudino et al. (2023)).

[85] See the seminal study by Benahmed and Houarner (2023) on combinations of tools in the EU.

[86] The amount is broadly in line with previous worst-case estimates of liquidity needs of G-SIBs in resolution. See Infelise et al. (2022), p 10 (EUR 178 billion), and Amamou et al. (2020), p 33 (EUR 184 billion).

[87] Swiss National Bank (2024a), p 108.

authorities (see Sect. 3.2. above) would have required substantial public liquidity support to keep the bank afloat, in addition to measures to bolster its CET1 and finance the bank's deep restructuring.

International discussions on adequate design features of public sector backstop funding mechanisms are ongoing.[88] Such a backstop will be vital for maintaining confidence in markets in the context of bank failure, even if it may ultimately not be used. As an earlier line of defense, it is crucial that resolution planning includes rigorous preparation to ensure failing banks' access to central bank liquidity facilities and ELA. Credit Suisse had lost access to these facilities at the SNB due to a lack of readily available eligible collateral.[89] A key lesson is therefore that banks should be obliged to preposition minimum amounts of assets that they can pledge at relevant central banks domestically and abroad in exchange for liquidity assistance.[90] Ensuring valid and enforceable delivery of collateral will often require banks to include appropriate transfer clauses in loan contracts and securitize loans to foreign clients. They will also have to demonstrate that eligible collateral remains unencumbered and has not been committed in other financial transactions.[91] While these aspects are part of the FSB's recommendations regarding resolution funding plans,[92] they have not received sufficient attention in global resolution frameworks.

5 Conclusions

'Plans are worthless, but planning is everything.' This famous statement attributed to former US President Dwight D. Eisenhower quite accurately summarizes the experience of the Swiss authorities in mid-March 2023, when Credit Suisse—one of Switzerland's two G-SIBs at the time—was on the brink of insolvency. The resolution plan devised by FINMA for the bank was worked out in every detail but was ultimately considered only a second-best option given the circumstances at hand. While open bank bail-in—the planned resolution action—would have substantially bolstered the bank's CET1 capital, it would not have solved its crisis of confidence *per se*. Effective stabilization of the bank required a credible prospect for its strategic reorientation and deep restructuring. According to the Swiss authorities, the chances of success would be greater if Credit Suisse's restructuring occurred under UBS's ownership rather than as a stand-alone bank under FINMA's control. On 19 March 2023, they announced that the banks had agreed to a rescue merger assisted by *ad hoc* public measures.

[88] Financial Stability Board (2024b), p 1.

[89] See Swiss National Bank (2024b), p 53: '[T]he preparations made by Credit Suisse were not sufficient to ensure a valid and legally enforceable delivery of collateral. Therefore, the full potential for liquidity assistance from the SNB could not be exploited.'

[90] Swiss National Bank (2023), p 39; Swiss National Bank (2024b), p 53. See also the recommendation by Tucker (2023), pp 94–95, that the SNB require banks to preposition collateral with the central bank to cover a high proportion of their short-term liabilities.

[91] See also Swiss National Bank (2024b), p 53, with reference to Credit Suisse.

[92] See Financial Stability Board (2018).

The case serves as a confirmation that bank failure management ultimately remains a judgment call of the authorities—informed by the causes of failure and the market environment at the time of failure. Although the resolution plan for Credit Suisse was not activated, the planning that FINMA had undertaken for the bank's resolution proved nevertheless crucial to the authorities' decision-making during the 'resolution weekend'. Moreover, the measures taken on 19 March 2023 to support UBS's takeover of Credit Suisse were, in many ways, in line with the basic principles of the FSB's Key Attributes. A key element was that the bank's shareholders and AT1 bondholders had to bear significant losses so that public funding in support of the transaction could be limited.

This article thus argues that the glass is more half full than half empty when assessing the achievements of global resolution frameworks developed since the GFC.[93] It nevertheless identifies three key lessons that can be learned from the handling of Credit Suisse's failure. The first is that there must be greater awareness of the risks associated with creating yet bigger banks when transfer strategies are deployed. Resolution planning should systematically consider these risks, including by the early involvement of competition authorities and the pre-selecting of potential acquirers, both domestically and abroad. A second lesson pertains to the importance of strategic optionality in resolution planning, ensuring that authorities retain flexibility in the use of resolution tools. The risk that a single resolution strategy will not work in a given crisis scenario is significant. However, if the authorities plan for several alternative strategies or deploy a strategy of combined resolution tools, the risk can be reduced considerably. The third lesson discussed in this article highlights the need for ample resolution funding irrespective of the specific handling of a G-SIB's failure. In addition to establishing credible public sector backstop funding, resolution planning must ensure that failing banks have access to central bank facilities and ELA through the prepositioning of minimum amounts of assets that can be pledged as collateral in exchange for liquidity assistance.

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[93] Less optimistic: Lupo-Pasini (2024).

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